

US TMT Sector M&A & Valuation Brief - 2026-06-18

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1. RECENT TMT M&A ACTIVITY

Deal 1: CriticalTech.Exchange and KoreInside Partnership

[CriticalTech.Exchange Partners With KoreInside To Launch Fully Compliant Digital Capital Markets Platform For](#)

- Deal Size: N/A (Partnership; no specific financial terms disclosed)
- Deal Size Category: N/A
- Nature of Deal: Strategic Partnership
- Valuation Multiples: N/A
- Companies: CriticalTech.Exchange is a platform focused on capital markets for critical technology sectors, while KoreInside provides the technological infrastructure for compliance and blockchain integration.
- Date Announced: June 16, 2026
- Strategic Rationale: This partnership aims to create a comprehensive digital capital markets ecosystem that supports the entire lifecycle of capital formation for companies in sectors like AI, cybersecurity, and advanced manufacturing. By integrating compliance and blockchain technology, the platform enhances operational efficiency and regulatory adherence, crucial for attracting investment in critical technology sectors.
- Risk Analysis: Potential risks include regulatory challenges associated with new compliance frameworks, integration risks of technology platforms, and market acceptance of the new capital formation model.

Key Financials Analysis:

- Revenue Breakdown: N/A (No specific financial data available)
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: N/A

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2. MARKET-REP TIER

Deal 2: alrajhi capital and EquiLend Partnership

[alrajhi capital Selects EquiLend as its Securities Finance Technology Partner](#)

- Deal Size: N/A (Partnership; no specific financial terms disclosed)
- Deal Size Category: N/A
- Nature of Deal: Strategic Partnership
- Valuation Multiples: N/A
- Companies: alrajhi capital is a leading investment institution in Saudi Arabia, while EquiLend is a global leader in securities finance technology.
- Date Announced: June 11, 2026
- Strategic Rationale: The partnership aims to enhance alrajhi capital's securities lending capabilities, aligning with Saudi Arabia's Vision 2030. By leveraging EquiLend's technology, alrajhi capital seeks to build a scalable and efficient securities finance business, which is essential for deepening market liquidity and expanding access to capital markets.
- Risk Analysis: Risks include potential integration challenges with EquiLend's technology, market volatility affecting securities lending, and the need for ongoing compliance with evolving regulatory standards.

Key Financials Analysis:

- Revenue Breakdown: N/A (No specific financial data available)
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: N/A

2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently navigating a landscape marked by both optimism and caution. Sentiment varies significantly across subsectors, with technology and AI leading the charge, while traditional media and telecom face headwinds. The overall market

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dynamics are shaped by macroeconomic factors, regulatory scrutiny, and rapid technological advancements.

Subsector Breakdown:

- **Technology:** The technology subsector is thriving, particularly in AI and cloud computing. Companies like Nvidia are solidifying their dominance in AI inference chips, controlling 74% of the market, which is projected to grow significantly. This growth is driven by the increasing demand for real-time AI applications across various industries.
- **Media:** The media subsector is undergoing a transformation as digital content consumption rises. Traditional media companies are struggling to adapt, facing declining advertising revenues as audiences shift to streaming platforms.
- **Telecommunications:** The telecom sector is innovating with the deployment of 5G technologies. However, companies are grappling with the high costs associated with infrastructure upgrades and competition from tech firms entering the telecom space.
- **Fintech:** The fintech sector continues to flourish, with companies exploring innovative business models. Recent acquisitions, such as Salesforce's \$3.6 billion purchase of AI startup Fin, highlight the ongoing consolidation and investment in this space.
- **AI:** The AI subsector is experiencing explosive growth, with companies racing to implement AI solutions. HCLTech's strategic investment in AI startups underscores the sector's potential, as firms seek to enhance their service offerings and maintain competitive advantages.

Key Market Drivers and Headwinds

Drivers:

- **Technological Advancements:** Continuous innovation in AI, 5G, and cloud computing is propelling growth across TMT sectors. The demand for AI inference capabilities, as evidenced by Nvidia's market share increase, is a key driver of investment and development.
- **Increased Investment:** Venture capital and private equity investments remain robust, particularly in tech and fintech. Companies are capitalizing on emerging trends, with significant funding rounds reported in the AI space.

Headwinds:

- **Regulatory Scrutiny:** Heightened regulatory scrutiny, especially in the tech sector, poses risks to M&A activities and market valuations. Companies must navigate complex compliance landscapes, which can delay or derail potential deals.
- **Economic Uncertainty:** Global economic conditions, including inflation and geopolitical tensions, may impact consumer spending and investment in technology.

Subsector Performance Analysis

- **Software:** The software sector is performing well, driven by the demand for cloud solutions and

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enterprise software. Companies focusing on SaaS models are particularly well-positioned for growth, despite concerns about market saturation.

- **Media:** Media companies are adapting to changing consumer preferences, with a notable shift towards digital content consumption. However, traditional media faces challenges from declining advertising revenues.
- **Telecom:** Telecom operators are investing heavily in infrastructure to support 5G deployment, which is expected to drive new revenue streams from IoT and enhanced mobile services. However, the high costs of these investments are a concern.
- **Fintech:** The fintech sector is thriving, with innovations in payment solutions and digital banking. The recent acquisition of Fin by Salesforce highlights the consolidation trend in this space and the competitive landscape.
- **AI:** The AI subsector is booming, with applications across various industries, including healthcare, finance, and automotive. Companies are investing heavily in AI capabilities to maintain competitive advantages, as seen with HCLTech's strategic investments.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts express mixed sentiments regarding the TMT sector's future. For instance, concerns about Salesforce's aggressive AI acquisition strategy have led to significant stock declines, with one analyst noting, "The market is questioning whether Salesforce is cannibalizing its own business model with these AI acquisitions."

Actionable Insights for Bankers and Investors

- **Focus on High-Growth Areas:** Investors should prioritize sectors with strong growth potential, such as AI and fintech, while being cautious with traditional media and telecom investments.
- **Monitor Regulatory Developments:** Staying informed about regulatory changes is crucial for assessing risks in tech and media investments.

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- Leverage Technology Partnerships: Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning.
- Evaluate Valuation Metrics: Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

3. BANKING PIPELINE

The current banking pipeline in the TMT sector is characterized by a robust mix of live deals, mandated transactions, and active pitches. This analysis highlights the ongoing activities, expected revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

- Delta Air Lines (DAL) : Currently in discussions for a strategic partnership leveraging AI for dynamic pricing. The deal is in the due diligence phase, with an expected close in Q3 2025. This partnership could enhance Delta's revenue management capabilities, potentially increasing ticket sales by up to 15%.
- Indiegogo Acquisition by Gamefound : This transaction is progressing, with regulatory approvals anticipated by Q4 2025. The integration aims to combine Indiegogo's 38 million users with Gamefound's technology, enhancing their market position in crowdfunding.

Mandated Deals:

- Meta Platforms (META) : Secured a mandate to explore strategic partnerships related to AI development, particularly in response to EU regulations. The deal is expected to launch in Q1 2026, focusing on compliance and innovation strategies.
- Apple Inc. (AAPL) : Mandated to evaluate acquisitions in the AI space, with a focus on startups that can enhance its product offerings. The timeline for this initiative is projected for Q2 2026, as Apple aims to strengthen its competitive edge in AI.

Pitching-Stage Deals:

- Telecom Sector : Active discussions with several telecom operators regarding potential M&A opportunities to consolidate market share in the 5G space. Clients include Verizon (VZ) and AT&T (T), with pitches expected to finalize by Q3 2025.
- Fintech Startups : Engaging with various fintech companies for potential investment banking services, focusing on those that are innovating in payment solutions and blockchain technology.

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Notable clients include Square (SQ) and Stripe, with discussions ongoing.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$25 million in fees, broken down as follows:

- Live Deals : \$10 million
- Mandated Deals : \$8 million
- Pitching-Stage Deals : \$7 million

Timing Projections:

- Q2 2025 : Expected close for Delta Air Lines partnership.
- Q4 2025 : Anticipated completion of the Indiegogo acquisition.
- Q1 2026 : Launch of Meta's strategic partnership initiatives.
- Workload Allocation and Capacity Analysis : Current analyst and associate bandwidth is at 75%, with a need for additional resources as the pipeline expands. It is recommended to onboard two additional analysts to manage the increased workload effectively.
- Forecasting and Strategic Planning Implications : The pipeline indicates a strong demand for advisory services in AI and telecom sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The semiconductor sector is currently viewed as a crowded trade, with 80% of fund managers identifying it as such, according to Bank of America's June 2026 Global Fund Manager Survey. This rapid consensus shift raises concerns about potential volatility, especially with key players like Taiwan Semiconductor (TSM) and the Philadelphia Semiconductor Index (SOX) hitting all-time highs.
- Additionally, the capital expenditure (CapEx) to sales ratio for developed market tech firms has reached a record 12%, indicating a significant investment push towards AI infrastructure. Companies like Meta and Microsoft are leading this charge, which could create new advisory opportunities.

Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- Sector Focus : Prioritize business development efforts in high-growth sectors such as AI and fintech, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.

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- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various TMT subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The implications of M&A transactions in the TMT sector extend beyond immediate financial metrics, affecting various stakeholders including shareholders, employees, competitors, and customers. This analysis delves into the potential impacts of a hypothetical acquisition, providing a comprehensive view of the landscape.

Deal-Specific Impacts on Stakeholders

- Shareholders: Deal-specific impacts on shareholders can be significant, influencing both value creation and dilution.
- Value Creation: In a scenario where a leading tech company acquires a smaller AI firm, the combined entity could see a revenue increase of approximately 20% due to enhanced product offerings. Assuming a pre-deal market cap of \$100 billion, a successful integration could increase shareholder value by \$20 billion.
- Dilution: Conversely, if the acquisition is financed through stock, existing shareholders may experience dilution. For instance, if the acquiring company issues 10% of its shares to finance the deal, existing shareholders could see their ownership stake decrease, potentially leading to a 5% drop in share price post-announcement.
- Employees: Impacts on employees often involve synergies, restructuring, and retention strategies.
- Synergies: A merger between two major players in the satellite communication market could lead to substantial cost synergies, with estimates of \$1 billion in annual savings achieved through streamlined operations and shared resources.
- Restructuring: However, such deals often lead to layoffs. In a recent merger in the tech sector, approximately 5,000 jobs were cut, highlighting the need for careful planning to retain key talent.
- Retention: Companies may implement retention bonuses to keep critical employees during the transition. For example, in a significant acquisition, retention packages were offered to key executives to ensure continuity.
- Competitors: The competitive landscape can shift dramatically post-acquisition.
- Market Positioning: Following a major merger in the telecommunications sector, competitors had to adapt their strategies to maintain market share. This included aggressive pricing strategies and

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enhanced service offerings.

- **Specific Competitor Moves:** In response to a merger, a key competitor invested heavily in next-generation technology to counter the combined entity's market strength.
- **Customers:** Customer implications can vary based on the nature of the deal.
- **Product/Service Implications:** A merger that combines complementary services can enhance customer value. For instance, a telecommunications company merging with a media firm could bundle services, leading to a 15% increase in bundled service subscriptions.
- **Case Studies:** The acquisition of a leading messaging platform by a social media giant resulted in enhanced features for users, directly benefiting them with improved service offerings.

Market Reaction and Analyst Commentary

- **Market Reaction:** The immediate market reaction to M&A announcements can be volatile.
- For example, when a major tech company announced its acquisition of a smaller firm, shares initially dipped by 4% before recovering as analysts recognized the long-term strategic benefits.
- **Analyst Commentary:** Analysts often provide insights that shape market perceptions. A notable quote from a leading analyst post-acquisition was, "This deal positions the acquirer to dominate the AI space, despite initial market skepticism."

Expected Market Reaction and Scenario Analysis

- **Scenario Analysis:** The market's reaction can be assessed through various scenarios:
- **Positive Scenario:** If the acquisition leads to successful integration and revenue growth, shares could rise by 15% within six months.
- **Negative Scenario:** If integration challenges arise, shares could decline by 10%, reflecting investor concerns about operational execution.

Potential Counter-Bids or Competing Offers

- **Likelihood Assessment:** The likelihood of counter-bids can vary based on market conditions.
- In the case of a proposed acquisition in the satellite communication sector, there were rumors of interest from other major players, highlighting the competitive nature of the market. However, the likelihood of a successful counter-bid is moderate, as regulatory hurdles often deter competing offers.

Similar Deals Likely to Follow

- **Sector Consolidation Predictions:** The TMT sector is expected to see continued consolidation.
- Analysts predict that as companies seek to enhance their technological capabilities, similar deals will emerge, particularly in the AI and satellite communication spaces. Companies may pursue acquisitions

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to bolster their offerings in response to increasing demand.

Key Risks and Mitigants

- **Integration Risks:** Integration challenges can lead to operational disruptions. Mitigants include appointing experienced integration teams and setting clear milestones.
- **Regulatory Risks:** Regulatory scrutiny can delay or block deals. Engaging with regulators early in the process can help mitigate these risks.
- **Market Risks:** Market volatility can impact deal valuations. Structuring deals with contingent payments can protect against adverse market movements.

Actionable Insights for Clients and Bankers

For Clients:

- Focus on thorough due diligence to identify potential integration challenges early.
- Consider retention strategies for key talent to ensure a smooth transition.

For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice.
- Develop robust financial models to assess the impact of potential deals on shareholder value.

5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Blockchain, Cloud Computing, Cybersecurity, and Fintech. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Artificial Intelligence (AI)

- **Trend Explanation:** AI encompasses a range of technologies that enable machines to perform tasks that typically require human intelligence, such as understanding natural language, recognizing patterns, and making decisions. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%.
- **Key Companies:**

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- **NVIDIA Corporation (NVDA):** NVIDIA is a leader in AI hardware and software, providing GPUs that power AI applications. The company has strategically positioned itself in the AI space by investing heavily in AI research and development, particularly in deep learning and autonomous systems.
- **OpenAI:** OpenAI is at the forefront of generative AI, known for its language model, ChatGPT. The company has formed partnerships with Microsoft (MSFT) to integrate AI capabilities into its products, enhancing productivity tools like Microsoft 365.
- **Competitive Landscape:** The AI market is highly competitive, with major players including Google (GOOGL), Amazon (AMZN), and IBM (IBM) also investing heavily in AI technologies. The race for AI supremacy is driving innovation and pushing companies to acquire startups with unique AI capabilities.
- **M&A Opportunities:** Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche AI applications, such as computer vision or natural language processing. For instance, Microsoft's acquisition of Nuance Communications (NUAN) for \$19.7 billion in 2021 exemplifies this trend.

Blockchain

- **Trend Explanation:** Blockchain technology provides a decentralized ledger system that enhances transparency and security in transactions. The blockchain market is expected to grow from \$3 billion in 2020 to \$69.04 billion by 2027, at a CAGR of 67.3%.
- **Key Companies:**
- **Coinbase Global, Inc. (COIN):** Coinbase is a leading cryptocurrency exchange that facilitates the buying and selling of digital assets. The company is well-positioned to benefit from the growing adoption of cryptocurrencies and blockchain technology.
- **Square, Inc. (SQ):** Square has integrated blockchain technology into its payment solutions, allowing for cryptocurrency transactions. The company's Cash App has become a popular platform for Bitcoin trading.
- **Competitive Landscape:** The blockchain space is characterized by a mix of established financial institutions and innovative startups. Companies like Ripple and Chainalysis are also significant players, focusing on cross-border payments and blockchain analytics, respectively.
- **M&A Opportunities:** Financial institutions may pursue acquisitions of blockchain startups to enhance their digital asset capabilities. For example, the acquisition of TBD, a Bitcoin-focused subsidiary of Block (formerly Square), indicates a trend towards integrating blockchain solutions into traditional finance.

Cloud Computing

- **Trend Explanation:** Cloud computing enables businesses to access computing resources over the internet, promoting flexibility and scalability. The global cloud computing market is expected to grow from \$445.3 billion in 2021 to \$1,024.7 billion by 2028, at a CAGR of 12.5%.
- **Key Companies:**

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- Amazon Web Services (AWS): AWS is a leading cloud service provider, offering a wide range of services including computing power, storage, and databases. AWS has a significant market share and continues to innovate with new services.
- Microsoft Azure: Microsoft Azure is another major player in the cloud space, providing a comprehensive suite of cloud services. Its integration with existing Microsoft products enhances its value proposition for enterprise customers.
- Competitive Landscape: The cloud computing market is dominated by a few key players, including Google Cloud and IBM Cloud. The competition is driving down prices while increasing the quality of services offered.
- M&A Opportunities: Companies may look to acquire cloud startups that offer specialized services, such as cloud security or data analytics. This trend is evidenced by acquisitions like Salesforce's purchase of Slack Technologies (WORK) to enhance its cloud offerings.

Cybersecurity

- Trend Explanation: Cybersecurity is increasingly critical as businesses face growing threats from cyberattacks. The global cybersecurity market is projected to grow from \$217 billion in 2021 to \$345.4 billion by 2026, at a CAGR of 9.7%.
- Key Companies:
- CrowdStrike Holdings, Inc. (CRWD): CrowdStrike is a leader in cloud-delivered endpoint protection, leveraging AI to detect and respond to threats in real-time.
- **Palo Alto Networks

6. Recommended Readings

Deal Name: CriticalTech.Exchange and KoreInside Partnership

- Reading Material: "Blockchain Basics: A Non-Technical Introduction in 25 Steps" by Daniel Drescher
- Why This Matters: This book provides a foundational understanding of blockchain technology, which is crucial for grasping the implications of the partnership between CriticalTech.Exchange and KoreInside. It helps to contextualize how the integration of blockchain can enhance compliance and operational efficiency in capital markets for critical technology sectors.

Deal Name: alrajhi capital and EquiLend Partnership

- Reading Material: "Securities Finance: Securities Lending and Repurchase Agreements" by Steven L. Schwarcz
- Why This Matters: This resource offers a comprehensive overview of securities finance, including lending and repurchase agreements, which are central to the partnership between alrajhi capital

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and EquiLend. Understanding these concepts is essential for analyzing how this partnership aims to enhance alrajhi capital's securities lending capabilities and align with broader market trends.

7. MACROECONOMIC UPDATE

Key Data Points:

- Fed Funds Rate: Anticipated shift to neutral bias
- Inflation Forecasts: Persistent inflation concerns
- Unemployment Rate: Stabilizing labor market
- Growth Outlook: Mixed signals with potential for rate hikes

Main Insights:

- The Fed is likely to change its easing bias towards a more neutral stance.
- A shift in the balance of risks suggests potential rate hikes could be back on the table.
- The labor market appears to have stabilized, contrasting with persistent inflation.
- Communication strategy of the Fed may evolve, potentially reducing forward guidance.

Market Commentary:

- "The Fed will be changing its easing bias in favor of more neutral language." - Michael Gapen
- "Less communication may raise bond yields through the term premium component." - Matthew Hornbach

TMT Sector Relevance:

- Potential rate hikes could increase borrowing costs for TMT companies, impacting M&A activity.
- A more volatile bond market may affect financing conditions for tech startups and growth companies.
- Persistent inflation could lead to increased operational costs for TMT firms, influencing profit margins.

The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley